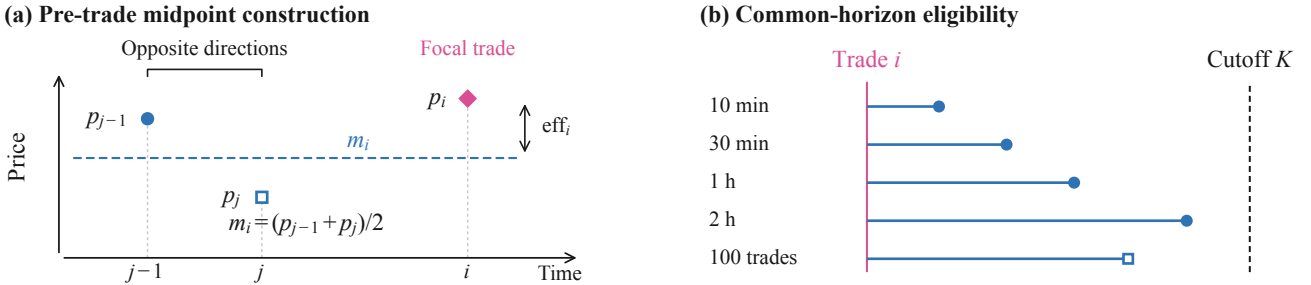
(a) Pre-trade midpoint construction
Opposite directions
Focal trade
Price
$p_{j-1}$
$p_i$
$m_i$
$\text{eff}_i$
$p_j$
$m_i = (p_{j-1} + p_j)/2$
$j-1$
$j$
$i$
Time
(b) Common-horizon eligibility
Trade $i$
Cutoff $K$
10 min
30 min
1 h
2 h
100 trades